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EduCare stock is in freefall. Shares plunged 52% Tuesday, wiping out nearly $1.3 billion in market value.

The culprit? StudyBot AI. The booming AI chatbot is rapidly gaining traction with students, denting EduCare's subscriber growth and rattling investor confidence. The company has even suspended its full-year outlook, citing mounting uncertainty.

EduCare CEO Robert Haines didn't hold back on the earnings call Monday. "Beginning in March, we observed a pronounced shift in student engagement toward StudyBot AI," he admitted. "It has become clear that this is actively suppressing our new subscriber acquisition."

The timing of the hit isn't subtle. Apex AI Labs rolled out SB-4 on March 19, giving StudyBot AI a major upgrade. EduCare's new subscriber sign-ups, steady earlier in the quarter, began to falter soon after.

In response, EduCare is fighting back with its own AI tool, EduCare AI Tutor, built on Apex AI Labs's SB-4 technology. Haines touted the product as a tailored solution for academic needs, promising a beta launch this month. But analysts aren't convinced it will be a quick fix.

Global Capital Markets analyst Jordan Reed slashed his price target for EduCare from $32.5 to $14.3, downgrading the stock to "Hold." He voiced fears that the company's core offering could become obsolete as students flock to free AI tools. "Without clear growth drivers or revenue diversification, EduCare AI Tutor might not arrive in time to stop the bleeding," Jordan Reed warned.

First-quarter earnings painted a grim picture. Revenue dropped 9% year-over-year to $243.88 million, with subscription services and profit following the same downward trajectory. EduCare predicts second-quarter revenue to come in between $227.5 million and $231.4 million--below Financial District Center's $242.19 million forecast.

The fallout isn't limited to EduCare. UK rival Legacy Learning also saw its shares slide over 13% on Tuesday as AI fears rippled across the edtech sector.

Haines struck an optimistic but measured tone. "We aren't sounding the alarm for the end of the world," he stated. "It's just an acknowledgment that there's been a technological shift. We need to adapt aggressively."

For now, though, Financial District Center appears unconvinced. The pressure is on for EduCare to prove its AI ambitions can reignite growth before it loses further ground to StudyBot AI.